SOFTWARE DEVELOPMENT AND SERVICES AGREEMENT

Agreement No. SDA-2026-0147 | Fictional sample document

This Software Development and Services Agreement (the "Agreement") is made on **1 November 2026** (the "Effective Date") between:

(1) BrightPath Retail Pvt. Ltd., a company incorporated in India, having its registered office at 14 Lake View Road, Hyderabad, Telangana 500081 (the "Client"); and

(2) NovaCode Technologies LLP, a limited liability partnership having its office at 22 Tech Park Avenue, Bengaluru, Karnataka 560100 (the "Service Provider").

The Client and the Service Provider are each a "Party" and together the "Parties".

1. Definitions

1.1 "Deliverables" means the software, source code, documentation and related materials described in Schedule A. **1.2 "Confidential Information"** means all non-public business, technical or financial information disclosed by one Party to the other, in any form. **1.3 "Personal Data"** means any information relating to an identified or identifiable individual. **1.4 "Milestone"** means a stage of the Services listed in Schedule B.

2. Scope of Services

2.1 The Service Provider shall design, develop, test and deliver a web-based customer loyalty platform (the "Platform") as described in Schedule A. 2.2 The Service Provider shall perform the Services with reasonable skill and care, in line with good industry practice, and using suitably qualified personnel. 2.3 Any change to the scope must be recorded in a written Change Request signed by both Parties. No change takes effect until it is signed.

3. Fees and Payment

3.1 The Client shall pay the Service Provider a total fixed fee of **INR 12,00,000 (Twelve Lakh Rupees)**, exclusive of GST, payable according to the following schedule:

Milestone	Deliverable	Due Date	Payment (INR)
M1	Requirements and design document	30 Nov 2026	3,00,000
M2	Working prototype (core features)	31 Jan 2027	4,00,000
M3	Beta release and testing report	31 Mar 2027	3,00,000
M4	Final release and handover	30 Apr 2027	2,00,000

3.2 The Client shall pay each valid invoice within **30 days** of receipt. 3.3 Late payments carry interest at **1.5% per month** on the overdue amount until payment is made in full. 3.4 If the Client disputes an invoice in good faith, it shall notify the Service Provider in writing within 7 days and pay the undisputed portion on time.

4. Term and Termination

4.1 This Agreement begins on the Effective Date and continues until the final Milestone is accepted, unless terminated earlier under this clause. 4.2 Either Party may terminate this Agreement for convenience by giving **30 days' prior written notice**. 4.3 Either Party may terminate immediately by written notice if the other Party commits a material breach and fails to remedy it within **15 days** of being notified, or becomes insolvent. 4.4 On termination, the Client shall pay for all Services performed and accepted up to the termination date, and the Service Provider shall hand over all completed and in-progress Deliverables.

5. Intellectual Property

5.1 On full payment of the fees, all intellectual property rights in the Deliverables transfer to the Client. 5.2 The Service Provider keeps ownership of its pre-existing tools, libraries and know-how ("Background IP") and grants the Client a perpetual, non-exclusive, royalty-free licence to use any Background IP embedded in the Deliverables. 5.3 The Service Provider shall not knowingly include third-party or open-source software in the Deliverables without disclosing its licence terms to the Client.

6. Confidentiality

6.1 Each Party shall keep the other Party's Confidential Information secret, use it only to perform this Agreement, and disclose it only to employees and advisers who need to know it and are bound by similar duties. 6.2 These duties do not apply to information that is public through no fault of the receiving Party, was already lawfully known to it, or must be disclosed by law or court order. 6.3 The confidentiality obligations continue for **three (3) years** after this Agreement ends.

7. Data Protection and Security

7.1 The Service Provider shall process Personal Data only on the Client's written instructions and in compliance with applicable Indian data protection law, including the Digital Personal Data Protection Act, 2023. 7.2 The Service Provider shall use appropriate technical and organisational safeguards, including encryption of data in transit and at rest, role-based access control and regular security testing. 7.3 The Service Provider shall notify the Client of any Personal Data breach **within 72 hours** of becoming aware of it and shall cooperate fully in investigating and containing it. 7.4 Secrets such as passwords, API keys and access tokens must never be stored in source code or shared repositories.

8. Warranties and Compliance

8.1 The Service Provider warrants that the Deliverables will conform to Schedule A and be free from material defects for **90 days** after final acceptance, and that it will fix reported defects at no extra charge during that period. 8.2 Each Party shall comply with all laws applicable to its performance of this Agreement, including anti-bribery, anti-corruption and tax laws. 8.3 Neither Party shall offer or accept any improper payment or benefit in connection with this Agreement.

9. Limitation of Liability

9.1 Neither Party is liable to the other for indirect or consequential loss, loss of profit or loss of goodwill. 9.2 Each Party's total liability under this Agreement is limited to the total fees paid or payable under it. 9.3 Nothing in this Agreement limits liability for fraud, wilful misconduct, breach of

confidentiality, or any liability that cannot be limited by law.

10. Force Majeure

Neither Party is in breach if delay or failure results from events beyond its reasonable control, such as natural disasters, war, epidemic or government action. The affected Party must notify the other promptly and make reasonable efforts to resume performance. If the event lasts more than **60 days**, either Party may terminate this Agreement by written notice.

11. Dispute Resolution and Governing Law

11.1 The Parties shall first try to settle any dispute through good-faith negotiation between senior representatives for **30 days**. 11.2 If unresolved, the dispute shall be referred to arbitration by a sole arbitrator under the Arbitration and Conciliation Act, 1996. The seat of arbitration is Hyderabad and the language is English. 11.3 This Agreement is governed by the laws of India, and the courts at Hyderabad have exclusive jurisdiction over matters not subject to arbitration.

12. General

12.1 **Entire agreement:** this Agreement and its Schedules are the whole agreement between the Parties on its subject matter. 12.2 **Amendment:** changes must be in writing and signed by both Parties. 12.3 **Assignment:** neither Party may assign its rights without the other Party's written consent. 12.4 **Notices:** notices must be in writing and sent by email with confirmation or by registered post to the addresses above.

Schedule A - Description of Deliverables

The Platform shall include: (a) customer registration and login with email verification; (b) a points-based loyalty engine that awards and redeems points; (c) an admin dashboard with sales and customer reports; (d) a REST API for integration with the Client's point-of-sale system; (e) user and technical documentation; and (f) deployment on the Client's cloud account.

Signatures

For BrightPath Retail Pvt. Ltd.	**For NovaCode Technologies LLP**
Name: Ananya Rao	Name: Rohan Mehta
Title: Managing Director	Title: Designated Partner
Date: 1 November 2026	Date: 1 November 2026

Disclaimer: This is a fictional sample contract created for learning and software testing. The companies and people named do not exist. It is not legal advice and should not be used as a real agreement.